

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1

DEF & Co should carry out the following procedures before accepting the auditor nomination from Delicacies Limited:

- Ensure that there are no ethical / independence issues which are a barrier for DEF & Co to accept nomination.
- Ensure that DEF & Co is professionally qualified to act and that there are no legal or technical barriers.
- Ensure that DEF & Co has adequate resources in terms of staff, expertise and time for this audit engagement.
- Check references for the substantial shareholders with Hong Kong Stock Exchange and perform background checks on the substantial shareholders of Delicacies.
- Obtain references for the directors or perform background checks on the directors of Delicacies.
- Obtain and review the latest available financial statements of Delicacies.
- Meet and make inquiries of the management, and those charged with governance, such as the Audit Committee and look for integrity issues.
- Consider whether Delicacies is subject to unusual high business risk. For example, any complex transactions, aggressive deals or attitude towards matters such as aggressive interpretation of accounting standards or the internal control environment.
- Consider any indication of money laundering or other criminal activities committed by the management.
- Request professional clearance from ABC & Co to ensure that there are not any reasons behind the vacancy which DEF & Co ought to know.
- Request from Delicacies a copy of the letter of resignation or termination from ABC & Co and any correspondence referred to in such letter for consideration.
- If Delicacies refuses to provide DEF & Co with a copy of the letter of resignation or termination from ABC & Co and any correspondence referred to in such letter, DEF & Co should decline to accept the nomination.

Answer 2(a)

In view of the facts and circumstances provided in the case, the control environment of Delicacies seems to be good, with the tone at the top which places a high value on ethics, effective controls in place on business operations, audit committee and internal audit team monitoring the controls of the company, etc. However, while the effective controls can mitigate the risk of material misstatement due to fraud, it cannot preclude the fraud risk of material misstatements due to management override of controls. Since management is in a unique position to perpetrate fraud because of their ability to override controls, fraud risk in relation to management override of controls by its nature is a significant risk of material misstatements.

Answer 2(b)

HKSA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* requires that, irrespective of the auditor's assessment of the risk of management override of controls, the auditor must design and perform audit procedures to respond to the risk. DEF & Co should consider the following audit procedures:

- Evaluate whether the selection and application of accounting policies by Delicacies, particularly those related to subjective measurements and complex transactions, may be indicative of fraudulent financial reporting resulting from management's effort to manage earnings.
- Test the appropriateness of journal entries recorded in the general ledger and other adjustments made in the preparation of the financial statements by:
 - (i) inquiring of individuals responsible for financial reporting process; and
 - (ii) testing collected journal entries and other adjustments made throughout the year and at the end of the period.
- Review accounting estimates for bias and evaluate whether the circumstances producing the bias represent a risk of material misstatement due to fraud.
 - (i) evaluate whether the judgements and decisions made by management in making the accounting estimates included in the financial statements, even if they are individually reasonable, indicate a possible bias on the part of the entity's management that may represent a risk of material misstatement due to fraud. If there is an indication of a possible management bias, DEF & Co shall re-evaluate the accounting estimate taken as a whole; and
 - (ii) perform a retrospective review of management judgements and assumptions relating to significant accounting estimates reflected in the financial statements of the prior year.

- Identify if there are significant or complex transactions that are outside the normal course of business for Delicacies and evaluate whether the business rationale of the transactions suggests fraud.
- Identify and test if there are any non-consolidated related party transactions that are not properly authorised.
- Identify unidentified related parties and the related transactions by management.
- Incorporate an element of unpredictability in the section of the nature, timing and extent of audit procedures.

Answer 3(a)

For food and beverage sales in restaurants and bakery shops, the risk of material misstatements in relation to revenue recognition in terms of occurrence, accuracy, completeness and cut-off is low. Reasons are as below:

The board of directors and the management team place high value on ethics and are not aggressive on accounting. The business is profitable with a healthy cash flow. Remuneration of the board of directors is measured by both financial and non-financial performance indicators. Remuneration of senior management to shop staff is evaluated based on their roles and responsibilities which are well-defined. Pressure by the board of directors on senior management to shop staff on boosting revenue seems to be low.

In addition, the food and beverage retail operation usually involves a large volume of transactions and relatively small amount for each transaction. The point-of-sales (“POS”) system has been used for many years with no system issue reported by the external auditor and internal audit team, and thus which has been proven to be an effective system. There are also structured processes and controls on sales and cash management of which there were no control deficiencies identified by the external auditor and reported to the Audit Committee. In addition, well-defined roles and responsibilities and detailed procedures manuals are available to assist staff to carry out their daily work, the likelihood and opportunity for management and staff to manipulate the revenue are low.

Moreover, the cut-off risk for food and beverage retail sales is low. The point of time to recognise revenue is clear as when the customers finish and pay for their meals.

Furthermore, the operation seems to be stable over the years, with a similar number of restaurants and bakery shops. The revenue for the six months ended 30 June 2018 looks comparable to the revenue for the year ended 31 December 2017.

Answer 3(b)(i)

Relevant control activities over voucher management should include:

- Each voucher should be pre-numbered in sequential order with a unique number assigned with security printing to prevent forgery.
- Each voucher should be assigned with an expiry date. Only voucher used before the expiry date is valid for product redemption.
- E-vouchers with QR code are only generated when customers make prepayments for the festive products.
- The paper vouchers which are not sold to the customers should be kept and locked in a safe place.
- Only designated person (e.g. shop manager) in the restaurants and bakery shops can handle the paper vouchers.
- A paper voucher should be marked as “Used” once it is presented for product redemption.
- Each restaurant and bakery shop should perform daily reconciliation of paper vouchers sold and cash receipts.
- Each restaurants and bakery shops should perform daily reconciliation of vouchers redeemed and festive product sales.
- The accounting and finance department at the headquarters should reconcile the voucher records (i.e. vouchers issued, sold and redeemed) in the system to the paper vouchers on hand on a regular basis.
- A direct interface between the voucher management system and the POS system should be established.

Answer 3(b)(ii)

The relevant audit procedures should include the following:

- Obtain and review last year's internal audit report on voucher management and discuss the findings with the internal audit.
- Discuss with management about the control remediated actions taken in response to internal audit's findings over voucher management.
- Understand and perform walkthrough test on management's process and controls over festive product sales, pre-paid voucher sales and voucher management.
- Evaluate and validate management's controls over festive product sales, pre-paid voucher sales and voucher management.
- Validate the effectiveness of the IT general controls and application controls of the "POS" system and the voucher management system.
- Validate whether the "POS" system is properly interfaced with the general ledger.
- Perform physical count of vouchers issued but not yet sold and vouchers redeemed, and reconcile the physical count records with the voucher records in the voucher management system.
- Review management's reconciliation of records of festive product sales and the numbers of vouchers redeemed.
- Review management's reconciliation of records of voucher sold and the cash receipt records.
- HKFRS 15 *Revenue from Contracts with Customers* requires management to consider the concept of "breakage" on unexpired vouchers. If "breakage" of the unexpired vouchers is expected and estimated by management at the year end, DEF & Co should test the reasonableness of assumptions and estimates used by management in breaking the revenue.
- Reconcile the revenue recognised relating to the vouchers expired during the year but were not redeemed by customers to the record of expired voucher in the voucher management system.

Answer 4(a)

As at 31 December 2017, property, plant and equipment and bank deposits in aggregate represented 80% and 30% of the total assets and total sales of Delicacies respectively and were the two most significant assets of Delicacies.

Delicacies as a food and beverage company, given its business nature, does not keep significant amounts of inventories and cash on hand. This is consistent with the financial information presented in the case. As at 31 December 2017, inventories and cash in restaurants and bakery shops in aggregate were around 4% and 2% of the total assets and total sales of Delicacies respectively.

In view of the above, certain audit procedures will be performed to ascertain the opening balances of property, plant and equipment and bank deposits. Inventories and cash on hand are scoped out.

Answer 4(b)

The relevant substantive audit procedures should include the following:

- Obtain a list of property, plant and equipment by restaurants, bakery shops and factory premises as at the beginning of the year.
- For property, plant and equipment in the restaurants and bakery shops, as the restaurants and bakery shops are all leased from the third parties, the most significant property, plant and equipment of the restaurants and bakery shops are mainly the leasehold improvements and furniture and fixtures. Verify the existence of these property, plant and equipment by examining the renovation contracts, purchase invoices of the furniture and fixtures, etc.
- For the self-owned factory premises in Hong Kong and Shenzhen, verification of the existence and legal title of the premises can be performed by examining the legal documents of the factory premises and physical attendance.
- Recalculation of depreciation to ensure the depreciation policy is consistently applied.
- Review significant disposals during the year and check if the disposed items are included in the opening balance of property, plant and equipment.
- Review the historical results performance of each restaurant and bakery shop to identify if there are non-performing restaurants and bakery shops of which asset impairment should be specifically considered.
- Review the estimated useful life of each asset group for its reasonableness.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 5(a)

Prior to the acquisition, Happy Ltd was not a public interest entity. Chan & Co may provide book-keeping services to Happy Ltd provided that the services related to the preparation of accounting records and financial statements are of a routine or mechanical nature. The auditor should consider whether significant judgement is required for the book-keeping services, otherwise a self-review threat could be created.

After the acquisition, although Happy Ltd itself is not a public interest entity, it became a significant subsidiary of Smile Ltd which is a public interest entity. The auditor of Smile Ltd may rely on the audit clearance provided by Chan & Co, and will therefore assess the independence of Chan & Co and may expect a more stringent restriction for its provision of book-keeping services to Happy Ltd. As set out in s.290 of the *Code of Ethics for Professional Accountants*, given the significance of Happy Ltd in a public interest entity, significant self-review threat is created if Chan & Co provides book-keeping services for Happy Ltd.

Answer 5(b)

Prior to the acquisition, the possible safeguards are:

- Team members who provide book-keeping services should be separated from the audit engagement team who performs the audit for Happy Ltd.
- If no separate teams are assigned, an additional partner is assigned to the audit engagement team to conduct an independent review of the audit as to reduce the self-review threat.
- Restrict the book-keeping services to routine and mechanical in nature and no management function should be carried out by Chan & Co.

After the acquisition of Happy Ltd by Smile Ltd, because the threats may affect a public interest entity, Chan & Co should terminate its book-keeping services with Happy Ltd.

Answer 5(c)

S.290 of the *Code of Ethics for Professional Accountants* provides guidance for the employment with an audit client. S.290.133 specifies that if a former member of the audit team or partner of the firm has joined the audit client in such a position and a significant connection remains between the firm and the individual, the threat would be so significant that no safeguards could reduce the threat to an acceptable level. The retired audit partner should consider whether his relationship with Chan & Co is too close which may create intimidation threat because one of the functions for an independent director is to oversee the audit exercised by external auditors. In addition, his involvement in the prior audits of Happy Ltd would also result in a self-review and familiarity threat because his judgement on the review of the financial statements of Smile Ltd will be compromised by his previous decisions when executing the audits.

Answer 6(a)

The typhoon incident may cause significant damages to the greenhouses which would have impact on the impairment of Strawberry Ltd's greenhouses.

Management assessment on the impairment provision involved significant management judgement and estimates, which is subjective.

Management was restricted to inspect the farm and accordingly not able to assess the condition of the greenhouses after the super typhoon.

It is difficult to support management's explanation that the greenhouses which are made of strong materials were not damaged or destroyed.

Management self-valuation may be biased and not reliable due to management's intention not to report any loss for the year.

Accordingly, the management's impairment assessment on the greenhouses is not supported by sufficient appropriate audit evidence.

Answer 6(b)

A disclaimer of opinion is considered appropriate due to:

- The auditor is unable to obtain sufficient appropriate audit evidence relating to the management's impairment assessment of the greenhouses.
- The possible effects on the financial statements of undetected misstatements arising from the impairment assessment of the greenhouses could be material and pervasive.

- Undetected misstatements could be material because the incident of typhoon may cause permanent damages to some or all of the greenhouses but this fact was not taken into account.
- Possible effects on the financial statements are confined to specific elements in the financial statements which are the non-current item fixed assets and the impairment loss (if any).
- However, because the greenhouses (fixed assets) accounted for 90% of the total assets of Strawberry Ltd, these effects are so confined which represented a substantial proportion to financial statements, undetected misstatements are pervasive.
- Further, since Strawberry Ltd's principal activities involved the sales of strawberries, the value of the greenhouses is fundamental to the users of the financial statements.

Answer 6(c)

Although the management's evaluation has been performed and a loss has been accounted for at the end of the second financial year, the opening balance of the farm may still be materially misstated because the HK\$1.5 million is the cumulative loss where some or all of these losses may be required to be accounted for in the first financial year.

Accordingly, any possible undetected misstatements in the first financial year may give rise to significant impacts on the second year's profit and loss account, there are no alternative audit procedures that the auditor could perform to evaluate the amount of such impact.

Consequently, it may affect the comparability of the profit and loss account of Strawberry Ltd between the first and second financial year.

Considering that the possible material misstatements only affect the profit and loss account, which are confined to specific elements in the financial statements, a modified opinion is considered as appropriate.

Answer 7(a)

The system maintains a master file of monthly payroll for each employee which could not be modified unless authorisation is obtained.

System initiates transfer of salaries to the employees' bank accounts.

System assigns sequential staff number to each employee.

System reconciles the staff number to the payroll list to ensure the employees registered in the system are complete.

System processes monthly payments at a pre-set month end date to ensure the payment is made on time.

Auto-posting of salaries to the sub-ledger of the Company.

Answer 7(b)

Master payroll file should be regularly reviewed by supervisor.

Human resources personnel review the employee list generated by the system and reconcile to any intake and leaving of employees on a regular basis.

Human resources personnel review the monthly payroll payment to ensure no exceptions being noted.

Accounting personnel obtain monthly bank statements to agree with the total bank payment to the payroll record.

Accounting personnel perform bank reconciliation on return payroll and investigate if there are any errors.

Accounting supervisor reviews the fluctuation of increase or decrease of the monthly payroll recorded in the general ledger.

Answer 7(c)

Controls to prevent unauthorised amendments to data files and controls to prevent or detect unauthorised changes to system program could prevent fake payroll payments.

Auditors can perform the following procedures to assess the effectiveness of these controls:

- observe and test the password protection of the payroll system;

- observe the existence of restrictive access to authorised users;
- inspect documentary evidence of control copies of programs being preserved and regularly compared with actual programs;
- inspect evidence of authorisation prior to processing such as authorised data input forms;
- observe performance of procedures for evidence of segregation of duties;
- inspect records of program changes;
- inspect physical access controls; and
- inspect program logs.

Answer 8(a)

The board of directors are accountable for management performance and responsible for monitoring management performance to safeguard the assets of the company.

The directors should consider the following:

- conduct a background check of SunSin to ensure that SunSin is not a related party nor an entity which may have a negative impact on Ho Mei;
- whether the purchase prices with SunSin are at arm's length, and comparable to prices quoted by third party suppliers;
- whether SunSin is able to maintain a steady supply of seafood to Ho Mei;
- whether a concentration of purchases from SunSin would cause an unnecessary business risk for its operation;
- whether a minimum purchase commitment would give rise to an unnecessary financial burden for Ho Mei;
- whether the seafood supplied by SunSin meets the quality standard of Ho Mei;
- whether the other terms and conditions as set out in the contract are comparable to the contracts from other third parties suppliers; and
- whether the operation manager exercised an objective evaluation on this contract.

Answer 8(b)

The whistle-blower allegation is considered as a possible fraud. Fraud is a significant business risk. It is the responsibility of the directors to prevent and detect fraud.

Possible actions that the directors could take:

- interview the operating manager to enquire if the allegation is valid and obtain explanations from the operating manager if the allegation is valid;
- appoint a consultant to investigate the relationship between SunSin and this operation manager;
- review the responsibilities carried out by this operation manager and identify if there are any irregularities;
- evaluate the internal controls over the purchase process and ascertain if effective controls could prevent any fraudulent transactions;
- review the transactions with SunSin during the period / year and ascertain if there are any irregularities;
- review the payments to SunSin to identify if any non-trading payments were made; and
- discuss with the external auditor or internal auditor to ascertain if there are any unusual observations regarding Ho Mei's purchases.

* * * END OF EXAMINATION PAPER * * *